

FEDERAL MARITIME COMMISSION

DOCKET NO. 25-03

EUROMARKET DESIGNS INC.

V.

MSC MEDITERRANEAN SHIPPING COMPANY, S.A., ET AL.

**REPLY OF RESPONDENT
HMM COMPANY LIMITED TO
COMPLAINANT’S OPPOSITION TO HMM’S MOTION FOR PARTIAL DISMISSAL**

Joshua P. Stein
Wayne R. Rohde
Kathryn Sobotta
Rachel Schwartz
COZEN O’CONNOR
2001 M Street, NW
Suite 500
Washington, DC 20036
jstein@cozen.com
wrohde@cozen.com
ksobotta@cozen.com
rschwartz@cozen.com

February 25, 2025

TABLE OF CONTENTS

I.	Introduction And Summary of Argument	1
II.	Argument.....	1
	A. The Applicable Legal Standard	1
	B. EDI’s Allegations of A Failure to Provide Space Are Inadequate.....	3
	C. EDI’s Allegations with Respect to Premium Charges Are Defective.....	5
	D. EDI’s Allegations with Respect to Demurrage/Detention Charges Are Defective.....	6
III.	Conclusion.....	7
	CERTIFICATE OF SERVICE	1

TABLE OF AUTHORITIES

Cases	Page(s)
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662, 678 (2009).....	2, 5
<i>Bell Atl. Corp. v. Twombly</i> , 550 U.S. 544, 570 (2007).....	2,5
<i>Maher Terminals, LLC v. the Port Auth. of New York and New Jersey</i> , Docket No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015).....	2, 5
<i>MCS Industries, Inc. v. COSCO SHIPPING Lines Co.</i> , Docket No. 12-02, 2015 WL 458569 (FMC C.A.L.J. Feb. 4, 2022).....	2, 5
<i>New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans</i> , 29 S.R.R. 345 (ALJ 2001), aff’d 29 S.R.R. 1066 (FMC 2002).....	2, 4, 5
<i>New Orleans Stevedoring Company v. Federal Maritime Commission</i> , 30 S.R.R. 1066 (D.C. Cir. 2002).....	2, 4, 5
<i>Samsung Electronics America, Inc., Complainant v. Orient Overseas Container Line Limited And OOCL (Europe) Limited</i> , Docket No. 24-17, 2024 WL 4893409, Order Partially Granting Motion to Dismiss (ALJ Nov. 18, 2024)	3, 4, 6
 Statutes	
46 U.S.C. § 41104(a)(10).....	2, 3, 4, 5, 6
 Other Authorities	
Fact Finding Investigation 29 Final Report (FMC May 31, 2022).....	4

FEDERAL MARITIME COMMISSION

DOCKET NO. 25-03

EUROMARKET DESIGNS INC.

V.

MSC MEDITERRANEAN SHIPPING COMPANY, S.A., ET AL.

**REPLY OF RESPONDENT HMM COMPANY LIMITED TO COMPLAINANT'S
OPPOSITION TO HMM'S MOTION FOR PARTIAL DISMISSAL**

Respondent HMM Company Limited ("HMM"), through undersigned counsel, hereby replies to the opposition of Complainant Euromarket Designs Inc. ("EDI" or "Complainant") to HMM's motion for partial dismissal.¹

I. Introduction And Summary of Argument

Despite arguments to the contrary in EDI's opposition (the "Opposition") to HMM's motion (the "Motion"), EDI's complaint (the "Complaint") fails to allege sufficient facts to make a plausible claim of an unreasonable refusal to deal. As an initial matter, EDI misstates the legal standard required to survive a motion for dismissal as defined by the FMC. In addition, the factual allegations in the Complaint and cited in the Opposition are ambiguous and insufficient to permit EDI's claim of an unreasonable refusal to deal to survive the Motion or are irrelevant to that claim.

II. Argument

A. The Applicable Legal Standard

¹ Complainant's opposition also addressed the non-dispositive portions of HMM's motion. Since Commission regulations do not contemplate replies to opposition to non-dispositive motions, this Reply is limited to the opposition to the dispositive portion of HMM's motion.

The parties agree that the version of Section 41104(a)(10) in effect prior to June 16, 2022, applies in this proceeding. That statutory provision made it unlawful for a common carrier to “unreasonably refuse to deal or negotiate.” In order to survive a motion to dismiss, EDI must plead “enough facts to state a claim for relief that is plausible on its face.” *Maier Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Facial plausibility requires factual content that allows a court “to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). EDI’s Complaint fails to meet this standard. Furthermore, as EDI notes in its Opposition, “[t]he focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS Industries, Inc. v. COSCO SHIPPING Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *4 (FMC C.A.L.J. Feb. 4, 2022) (“*MCS Industries*”).

The relevant version of Section 41104(a)(10) simply requires that a common carrier must not shut out persons for reasons not related to “legitimate transportation factors.” The Commission has held that:

In interpreting the prohibition against unreasonable refusals to deal, the FMC has stated: The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), aff’d 29 S.R.R. 1066 (FMC 2002), aff’d *New Orleans Stevedoring Company v. Federal Maritime Commission*, 30 S.R.R. 1066 (D.C. Cir. 2002).

Moreover, the most recent holding interpreting the current version of Section 41104(a)(10),

which includes an element that a common carrier must have unreasonably refused to deal or negotiate, did not interpret this statutory provision as broadly as EDI alleges. Instead, in *Samsung Electronics America, Inc., Complainant v. Orient Overseas Container Line Limited And OOCL (Europe) Limited*, the ALJ concluded that Samsung had failed to plead facts sufficient to sustain the necessary elements of a refusal to deal/negotiate and unreasonableness because “factual material describing [a common carrier’s] vessel-space accommodation practices, or any specific attempts at negotiations or communications that occurred, any specific non-transportation factors that played a role in those discussions, or unreasonable rates that [the carrier] quoted, or any other non-conclusory allegations” were necessary to survive a motion to dismiss. Docket No. 24-17, 2024 WL 4893409, Order Partially Granting Motion to Dismiss (ALJ Nov. 18, 2024)(“*Samsung*”). Despite the application of the earlier version of Section 41104(a)(10) in this proceeding, the *Samsung* holding is relevant because it addresses the degree of specificity to support a common element of the two forms of the statute: an unreasonable refusal to deal or negotiate.

B. EDI’s Allegations of A Failure to Provide Space Are Inadequate

EDI’s Opposition overstates the specificity of the factual allegations contained in the Complaint which, as argued in HMM’s Motion, are insufficient to state a plausible claim of an unreasonable refusal to deal.

EDI asserts that it alleged “in detail” various acts that plausibly state a claim for an unreasonable refusal to deal or negotiate. Opposition at 15. EDI cites to Paragraphs 48 and 49 of its Complaint as a basis for this position. Paragraph 48 is a general incorporation of the prior allegations made in the Complaint. Even if accepted as true, which HMM disputes, the prior allegations incorporated by Paragraph 48 assert failures to fully meet contractual commitments or that Respondents offered to carry Complainant’s cargo in exchange for premium pricing or

surcharges. None of the incorporated allegations even assert directly that the failure to meet the contractual MQC actually stemmed from a refusal by HMM to release space. Regardless of whether the alleged conduct might provide the basis for a cognizable claim under another section of the Shipping Act, even when read in the light most favorable to EDI, these allegations are insufficient to state a plausible claim of an unreasonable refusal to deal. Paragraph 49 details why Complainant believes the Service Contract Respondents' acts or omissions constitute a failure "to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c)...". On its face, Paragraph 49 relates to a different section of the Shipping Act unrelated to unreasonable refusals to deal under Section 41104(a)(10).²

The Complaint's lack of a plausible allegation of an unreasonable refusal to deal is further belied by EDI's admission in Paragraph 87 of the Complaint that HMM transported 1,916 FEUs of the 3,000 MQC. In light of EDI's confirmation that HMM moved nearly 64% of the MQC under the relevant service contract, its claim should fail under *New Orleans Stevedoring Co.* because HMM did not shut out EDI at any point during the service contract period. Moreover, EDI does not allege that it was shut out at any point; EDI only pleads facts that suggest (and which HMM denies) that EDI did not receive all of the cargo space it desired in limited instances and where the supply chain as a whole was overburdened.³

EDI's allegations also fail to rise to level of specificity required under the pleading standard in *Samsung*. See *Samsung* at 12-13 (requiring "sufficient factual material to establish" each

² Though not cited by EDI in its opposition, Paragraph 85 purports to quote emails from Complainant to HMM describing alleged failures to meet contractual commitments, but does not expressly indicate that such failures were the result of HMM refusing to release requested space, unreasonably or otherwise.

³ In Fact Finding 29, the Commission recognized that both the Transpacific and Transatlantic markets experienced "an extreme spike of consumer demand in the United States that overwhelmed the supply of ship capacity" which led to significant price increases for shipping cargo and supply chain challenges. Fact Finding 29 at 44.

element of a claim under Section 41104(a)(10) such as “specific” details about communications, “non-transportation factors,” and/or “factual material describing [the carrier’s] vessel-space accommodation practices.”). EDI provides no such specifics in its Complaint. EDI’s allegations also fail under the standards outlined in *Twombly*, *Iqbal*, and *MCS Industries*. See *Maier Terminals*, Docket No. 12-02, 2015 WL 9426189, at *12; *Maier Industries*, FMC Dkt. No. 21-05, 2022 WL 458569, at *4. Instead, the allegations consist of a few ambiguous allegations that principally relate to other sections of the Shipping Act and that, in any event, do not adequately plead a claim under Section 41104(a)(10) and thus should be dismissed.

C. EDI’s Allegations with Respect to Premium Charges Are Defective

EDI’s factual allegations with respect to premium charges, found in Paragraphs 106 to 108 of the Complaint, are also inadequate to make out a plausible claim of unreasonable refusal to deal for both legal and factual reasons.

As an initial matter, EDI’s factual allegations with respect to premium charges are legally deficient because, as noted above, the prohibition against unreasonable refusals to deal as in effect at the time relevant to this proceeding merely required common carriers to refrain from “shutting out” any person for reasons having no relation to legitimate transportation factors. See *New Orleans Stevedoring Co.*, *supra* at 351. Thus, under the version of the law applicable in this proceeding, EDI fails to state a plausible claim that any request for payment of a premium rate constitutes an unreasonable refusal to deal.

Even if requesting payment of a premium rate could constitute an unreasonable refusal to deal (which it does not), EDI’s factual allegations are insufficient to sustain such a claim. The communication referenced in Paragraph 106 does not, as EDI claims, indicate that HMM was refusing to provide space it had agreed to provide under the service contract, rather, it refers to an

offer by HMM to release space to EDI on a separate premium service. If anything, this indicates HMM was willing to provide space to EDI above and beyond the volume of cargo EDI acknowledges was carried under the service contract. Thus, neither Paragraph 106 nor any other Paragraph in the Complaint identify facts indicating that HMM was refusing to provide space to EDI. To the contrary, the Complaint demonstrates continuing service and an offer to provide additional space.

None of the foregoing factual allegations state a plausible claim for an unreasonable refusal to deal, particularly in light of the volume of cargo HMM moved under its contract with EDI. Moreover, each allegation is deficient because it ignores relevant context and alone does not satisfy the requirement that each element of its claim be pled with specificity under *Samsung*. See *Samsung* at 12-13. Instead, these allegations are a scattershot effort by EDI to piece together a plausible claim based on a small number of inconclusive emails. The purported factual allegations simply do not satisfy the necessary pleading standard. As such, the allegations to which EDI points in support of its claim amount to nothing more than conclusory allegations that should be dismissed.

D. EDI's Allegations with Respect to Demurrage/Detention Charges Are Defective

EDI's allegations with respect to demurrage and detention charges are insufficient to make out a plausible claim of unreasonable refusal to deal for both legal and factual reasons.

Claims for an unreasonable refusal to deal based on demurrage and detention charges have been dismissed in other cases. See *Samsung*. In *Samsung*, the ALJ held that the complainant failed to state a plausible claim of an unreasonable refusal to deal where it failed to allege any facts supporting a failure by the carrier to engage in good faith negotiations or that any such refusal was not based on legitimate transportation factors. *Samsung* at *12. Here, as explained below, EDI's

Complaint suffers from the same defect.

Paragraphs 142-144 of the Complaint expresses frustration with various aspects of operations allegedly involving HMM. It is unclear whether any of the complained of issues actually resulted in the imposition of any demurrage or detention charges. Regardless, none of these paragraphs actually allege that HMM refused to deal or negotiate. At most, these paragraphs might state a plausible claim that any demurrage charges attributable to the complained of issues should be considered unreasonable but are not relevant to any claim under Section 41104(a)(10).

To the extent that EDI's allegations relate to detention and demurrage, they do not support a claim under Section 41104(a)(10) because they do not allege that EDI was shut out by HMM and do not relate to vessel space accommodations. These allegations are merely generalized frustrations that do not individually (or collectively) amount to a sufficient pleading with respect to Section 41104(a)(10).

III. Conclusion

For the reasons set forth above, EDI's claim against HMM under Section 411014(a)(10) should be dismissed.

Respectfully submitted,

COZEN O'CONNOR

By: s/ Joshua P. Stein

Joshua P. Stein

Wayne R. Rohde

Kathryn Sobotta

Rachel Schwartz

Cozen O'Connor

2001 M Street, NW

Washington, D.C. 20036

jstein@cozen.com

wrohde@cozen.com

ksobotta@cozen.com
rschwartz@cozen.com

Counsel for Respondent, HMM Company Limited

Dated: February 25, 2025

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing Reply was served upon the following via email transmission this 25th day of February, 2025.

Karl Huth, Esq. (huth@huthreynolds.com)
Matthew Reynolds, Esq. (reynolds@huthreynolds.com)
Gregory Crapanzano, Esq. (gcrapanzano@huthreynolds.com)
Luke Rushing, Esq. (jlrushing@huthreynolds.com)
Counsel for Complainant EuroMarket Designs, Inc.

Garth Wolfson, Esq. (gwolfson@mahoneykeane.com)
Edward Keane, Esq. (ekeane@mahoneykeane.com)
Counsel for Respondents Evergreen Line Joint Service Agreement (FMC #011982),
Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Maritime
SpA, Evergreen Marine (Hong Kong) Ltd. and Evergreen Marine (Singapore) Pte. Ltd.

George Wright, Esq. (gwright@wright-associate.com)
Narinder Parmar, Esq. (nsparmar@wright-associate.com)
Counsel for Respondent Maersk A/S

W. Ryan Snow, Esq. (wrsnow@cwm-law.com)
K. Barrett Luxhoj, Esq. (kbluxhoj@cwm-law.com)
Mackenzie R. Pensyl, Esq. (mpensyl@cwm-law.com)
Counsel for Respondent CMA CGM S.A.

Steven Stancliff, Esq. (sstancliff@ventkerlaw.com)
James Levantino, Esq. (jlevantino@ventkerlaw.com)
Counsel for Respondent Ocean Network Express PTE Ltd.

Wayne Rohde, Esq. (wrohde@cozen.com)
Joshua Stein, Esq. (jstein@cozen.com)
Christopher Raleigh, Esq. (craleigh@cozen.com)
Neil Quartaro, Esq. (nquartaro@cozen.com)
Kathryn Sobotta, Esq. (ksobotta@cozen.com)
Rachel Schwartz, Esq. (rschwartz@cozen.com)
Counsel for Respondents MSC Mediterranean Shipping Company, S.A., and Wan Hai
Lines Ltd.

/s/Joshua P. Stein
Joshua P. Stein